# Trade and Balance of Payments

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| Chapter | 11 |
| Date | Week 7, Term 3 |
| Objectives | • composition and direction of Australia's trade • the concept of the balance of payments • the general structure of the current account, and the capital and financial account • the distinction between the current account and the capital and financial account • the relationship between the current account and the capital and financial account |
| Resources | Y11 Trade and Balance of Payments.pptx |

Comparative advantage: A lower opportunity cost when producing the goods. Australia has an abundance of natural resources and we are good and efficient at it. Countries have different CA so then specialise in these areas to trade

Absolute advantage: When you can produce more output for a given amount of output

Consolidation

## Trade Composition and Direction

▼ **What are Australia's top two-way trading partners?**

1. China. $235B total goods and services. Makes up 26.4% share
2. Japan. $88.5B total goods and services. Makes up 9.9% share
3. United States. $76.4B total goods and services. Makes up 8.6% share
4. Republic of Korea. $41.4B total goods and services. Makes up 4.6% share
5. Singapore. $32.7B total goods and services. Makes up 3.7%

▼ **What are Australia's top import partners?**

1. China

2. United States
3. Japan
4. Germany
5. Thailand

▼ **What are Australia's top export partners?**

1. China
2. Japan
3. Republic of Korea
4. United States
5. India

▼ **What are Australia's top exports?**

1. Iron ores and Concentrates
2. Coal
3. Natural Gas
4. Education-related services
5. Personal Travel

▼ **What are Australia's top imports?**

1. Personal travel
2. Refined petroleum
3. Passenger motor vehicles
4. Telecom equipment and parts
5. Crude petroleum

▼ **Why do we trade with these countries?**

Most of these countries are close and accessible to us

We mainly supply raw materials and import finished products

This is because we dont have the comparative advantage (lower opportunity cost) in manufacturing due to the high costs as we try to have a high nationwide standard of living

We do, however, have an abundance of technology and resources to supply raw product

▼ **Why do we trade these goods?**

Education is one of our top exports due to our high standard of education and reputation

Travel is a top export because our environment is so different to most countries, making us attractive. This is an absolute advantage.

Most of our imports are finished goods. This is because we dont have the comparative advantage.

# Balance of Payments

Balance of payments: a record of all economic transactions between the residents of Australia and residents of the rest of the world. Residents include individuals, firms and government.

▼ **What is the BoP overall?**

Divided into two accounts -current and the capital and financial account

Each transaction in the BoP is recorded as consisting of two equal and opposite entries

- Credit: Exports of goods and services, income receivable, increase in foreign liabilities , export of currency
    - Something of economic value is provided
- Debit: Imports of goods and services, income payable, increase in foreign assets, import of currency
    - Something of economic value is received

Since for each transaction there is a matching credit and debit entry, the overall balance of payments should stay the same.

Net errors and omissions include misconversions in currency, calculating errors etc.

▼ **What the Current Account?**

Records current (or short term) flows of funds into and out of the country

Concerned with transactions involving goods, services and income

Goods: Import (debit) and export (credit) of goods

- Such as the export of coal or import of clothes

Services: Import (debit) and export (credit) of services

- Such as import and export of tourism or education

Income: Net income (Y)

1. Primary - where you get something for it
    - Compensation of employees (wages)
    - Investment income - Income received from investments including profits, dividends, rental income and interest repayments (from foreign enterprise operating here)
    - Income from factors of production
2. Secondary - where you dont get anything in return
    - Transactions where real or financial resources are provided (goods, services or financial assets) but nothing of economic value is received in return such as foreign aid, remittances, allowances

▼ **What is the Capital and Financial account?**

Capital account: records capital transfers and the acquisition/disposal of non-produced, non-financial assets, for example, copyrights.

Financial account: records long term transactions in physical and financial assets

- Records transactions in financial assets and liabilities such as shares, securities and loans between residents of Australia and residents of overseas countries

Financial account - types of investments

- Direct investment
    - Undertaken with the intent of long term investment and excising a significant degree of influence on its management
    - >10% of ordinary shares or voting stock

        - Mostly beneficial to Australia
    - Portfolio investment
        - More short term in nature and speculative
        - <10% of ownership involved
        - People are investing to make quicker financial gains
    - Other investment
        - Investment other than direct or portfolio
        - Trade credits, loans, currency and deposits
        - Payments to exports
    - Reserve assets
        - Financial assets controlled by the RBA

    Credit - financial inflow/ increased foreign liabilities

    Debit - financial outflow / increased foreign assets

▼ **Double entry system**

Each transaction has two sides - debit and credit

Something of economic value is provided and something of equal value is received.

For any transaction between Australian residents and the world, the balance of payments will record this as a double entry

This system balances out to $0

Opposite flow from current account goes in financial account (goods services and income)

Opposite flow of financial account is also in the financial account (investment)

For example, when an Australian company exports $100m worth of wheat, something of economic value is provided to another country, and this is a credit on the current account (because it is a good)

This credit is then offset by a debit in the financial account as the Australian company receives something of equal economic value, $100m.

Therefore the payments balance out to $0

- **Relationship between CA and KFA**

  The current account and the capital/financial account balance must sum to zero i.e they balance each other out

  This can be explained because:

  - Double entry accounting - Every entry has an equal and opposite entry, i.e. every debit has a credit and vice versa
  - Floating exchange rate - Demand for the AUD must equal supply of AUD over time

  In Australia:

  - Typically run a current account deficit and capital and financial account surplus
    - Main reason for this is the savings-investment gap in Australia
      - This is the gap between domestic savings and the level of domestic investment
      - We save less than what we invest
      - Domestic banks don't have enough savings for their investments meaning businesses need foreign investment rather than relying on banks for loans
    - Another reason is the net income balance deficit
      - This is because Australians pay more income out than we recieve
      - We pay more because of the high levels of foreign investment in Australia
      - Since income is part of the current account, and income is going out (debit) in the current account so this increases the deficit

  Errors and Omissions:

  - Due to the differences in data collection and the range of sources used to collect data

- **Stances on Current Account Deficit (CAD)**

CAD is a sign of economic strength:

- Australia has a CAD because we have a high inflow of foreign investment (causes a large volume of income outflows which are debits on the primary income component of CA)
- Out CAD is significant because it is caused by a financial account surplus, financing the expansion of further production and export capacity

CAD is a sign of economic weakness:

- We are living beyond our means by buying more imports than we can afford given the revenue we earn from exporting (can be objected to by the net income balance deficit which could be argued as more prominent)
- Our export performance is poor
- Lack of competitiveness has increased consumer preference for imported goods
- CAD is unsustainable

| Credit (CA) | Debit (CA) | Credit (FA) | Debit (FA) |
|---|---|---|---|
| Coal exports $260m | | | $260m currency |
| Spending by overseas tourists in Ozland $10m | | | $10m currency |
| | $40m interest repayments (Y) | $40m currency | |
| | | Loan to AU $100m | $100m currency |
| | | Currency $50m | $50 purchase of govt. bonds |
| | Dividend payments to overseas residents | Currency | |
| | Machinery imports | Currency | |
| Profits remitted to AU from overseas | | | Currency |